

How a 501(C)(10) legally operates

A 501(c)(10) organization is a tax-exempt domestic fraternal society, order, or association that operates under the "lodge system" (a parent national organization with locally chartered, largely self-governing subordinate lodges/chapters).

It must have a fraternal purpose (membership based on a common bond or object, plus substantial fraternal/ritualistic activities like ceremonies, member development, and social welfare promotion within the group). Its net earnings must be devoted exclusively to religious, charitable, scientific, literary, educational, and fraternal purposes. Critically, unlike a 501(c)(8) fraternal beneficiary society, a 501(c)(10) cannot provide life, sick, accident, or other direct benefits/insurance to members or their dependents.

Types of Charity a 501(c)(10) Can Do Because its earnings must go toward charitable purposes (among the others listed above), a 501(c)(10) can engage in charitable activities. However, these must remain supplemental/secondary to its primary fraternal purpose (member bonding, rituals, and moral/spiritual development). If charity becomes the dominant activity, the IRS may reclassify it as a 501(c)(3) public charity instead.

Common examples of allowable charitable activities include:

- Scholarships or educational grants
- Food drives or assistance for the needy
- Disaster relief
- Community service projects
- Historical preservation or public education programs
- Donations to other qualified causes (e.g., supporting religious, scientific, or literary efforts)

Important restriction on for-profit businesses:

It is not permitted (and would jeopardize your 501(c)(10) tax-exempt status) to make a direct donation, grant, or charitable contribution specifically to a for-profit business. Such a payment would constitute a private benefit to the business owners rather than serving a public charitable purpose. IRS rules prohibit tax-exempt organizations from using their net earnings in any manner to benefit private for-profit entities. Money can flow from a for-profit to your organization (e.g., a business can sponsor or donate to you), but never the other way around as charity.

If you ever need to pay a for-profit company, it must be strictly as a vendor or contractor for goods/services that directly further your charitable program (e.g., buying food from a grocery store for a food drive or paying a printer for program materials). This is an arm's-length transaction, not a "donation."

Important notes on donations:

Contributions to a pure 501(c)(10) are generally not tax-deductible as charitable contributions unlike those to 501(c)(3) organizations. Unless those donations are specifically designated for charity.

A Good Definition of "Charity" In U.S. tax law (applicable to both 501(c)(3) and 501(c)(10) organizations), the IRS defines "charitable" in its generally accepted legal sense. It is not limited to just helping the poor, it is broader and includes:

- Relief of the poor, distressed, or underprivileged
- Advancement of religion, education, or science
- Erection or maintenance of public buildings, monuments, or works
- Lessening the burdens of government
- Promotion of social welfare by lessening neighborhood tensions, eliminating prejudice and discrimination, defending human and civil rights, or combating community deterioration and juvenile delinquency

In short, charity means activities that provide public benefit and serve the general welfare or a charitable class of people, without private inurement (no net earnings benefiting private individuals).

How Charity Differs from "Benefit" In the context of fraternal organizations and nonprofits, the distinction is clear and important under IRS rules:

- Charity = Outward-focused public benefit. It is altruistic/philanthropic help for the broader community, the needy, or societal advancement (e.g., food drives, scholarships for non-members, disaster relief). There is no expectation of direct return to the giver or the organization's members. It serves the public interest and is why the organization gets tax-exempt status.
- Benefit (in the fraternal sense) = Inward-focused private or mutual benefit to members (or their dependents). This includes direct payments like life insurance, sick/accident benefits, or member-only aid. These are essentially mutual/self-help arrangements among members. 501(c)(10) organizations are prohibited from providing them (they are

reserved for 501(c)(8) groups). Providing significant private benefits can jeopardize exemption or trigger "private benefit" or "inurement" rules.

Key Prohibition – Member Benefits

A 501(c)(10) cannot provide life, illness, accident, or any other direct financial benefits to its own members or their dependents. Paying a member's bills (even non-emergency ones) would be treated as a prohibited "benefit" and private inurement.

Note on Member Benefits and 501(c)(8)

This summary and the Charitable Assistance Policy apply only to non-members and public charitable activities. Providing direct financial assistance (including paying members' non-emergency bills or hardship aid) to members or their dependents is strictly prohibited under IRC § 501(c)(10), as it would constitute a prohibited "other benefit" and private inurement.

If the Lodge wishes to provide hardship assistance or other financial benefits to its own members, the proper and compliant approach is to establish a separate 501(c)(8) Fraternal Beneficiary Society. A 501(c)(8) is specifically authorized — and required — to operate a system of life, sick, accident, or "other benefits" for members and their dependents while remaining tax-exempt.

Bottom line

Charity advances the public good (and is allowed/required in 501(c)(10) via earnings use), while "benefits" are private member perks (explicitly banned in 501(c)(10)). Nonprofits in general are either "public benefit" organizations (like charities) or "mutual benefit" ones (member-focused clubs). Mixing the two improperly can cause IRS problems.